d. Eliminating or minimizing exchange restrictions by promoting multilateral payments.

e. Providing economic assistance to member countries for correcting imbalance in balance of payments of countries

f. Minimizing imbalance in quantum and duration of balance of payment.

Functions of IMF

The functions of IMF are enumerated below

1. It acts as short term credit institution at the international level.
2. It provides machinery for ordinary adjustments of exchange rates.
3. It has a reservoir of currencies of the member countries from which a borrower can borrow currencies of other nations.
4. It promotes economic stability and global growth by encouraging countries adopt sound economic and financial policies.
5. It offers technical assistance and training to help member countries strengthen and implement effective policies. Technical assistance is offered in formulating banking, fiscal, monetary and exchange policies.
6. It helps member countries correct their imbalance in balance of payment.

IMF AND INDIA

Free Convertibility of Indian Rupee

Indian rupee has become independent after the establishment of IMF. Earlier it was linked with pound sterling. Its value is now determined in terms of Gold. Hence it is freely convertible.

1. Loan For Development Activities

India got several loan facilities from IMF for its several development projects.

2. Ability To Purchase Foreign Currency

Government of India is able to purchase foreign currencies from time to time to



SPECIAL DRAWING RIGHTS (SDR)

SDR was created by the IMF in the year 1969 as supplementary international reserve asset. It is described as paper gold. Initially the value of SDR was fixed to be 0.888671 grams of fine gold equivalent to one US dollar till the year 1973. After the collapse of Britten Wood system in 1973 SDR was redefined as basket of currencies. From 1st October 2016 SDR basket consists of US dollar, Euro, the Chinese Renminbi, Japanese Yen and British Pound sterling. The value of SDR is regularly posted daily in IMF website.

It is calculated as the sum of specific amount of each basket currency value in US dollar based on the spot exchange rates observed at noon London time. IMF allocates SDR to member countries in proportion to their quota. IMF member can exchange SDR for freely usable currencies by voluntary exchange or as per IMF instructions. Besides members can borrow from IMF at favorable rate of interest to correct imbalance in balance of payments.

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